Liebherr Group – Speaker notes

HAT1 Financial Reporting · 12 slides · planned speaking time 9:35 min · 1298 words of notes (≈ 130 words per minute)

Red line: **Should a long-term investor take a minority stake in Liebherr – and if not, why not yet?**
Answer first (slide 2) → why: company and model (3) → performance (4) → can we trust the figures? (5–6) → position, cash and working capital (7–8) → how the workbook supports it (9) → conditions for reassessment (10) → conclusion (11).

All figures are taken from the report and the Excel workbook. Actual adjustments (Caterpillar LIFO → FIFO, 2022 goodwill reclassification) are kept separate from illustrative sensitivities (provision charge, depreciation rate).

01 Title

0:25



HAT1 FINANCIAL REPORTING · 2026

Liebherr Group

Financial Reporting and Investment Analysis 2022–2025

CENTRAL QUESTION

Should a long-term investor take a minority stake in Liebherr – and if not, why not yet?

Benchmark: Caterpillar Inc. and the average of 105 listed US machinery companies

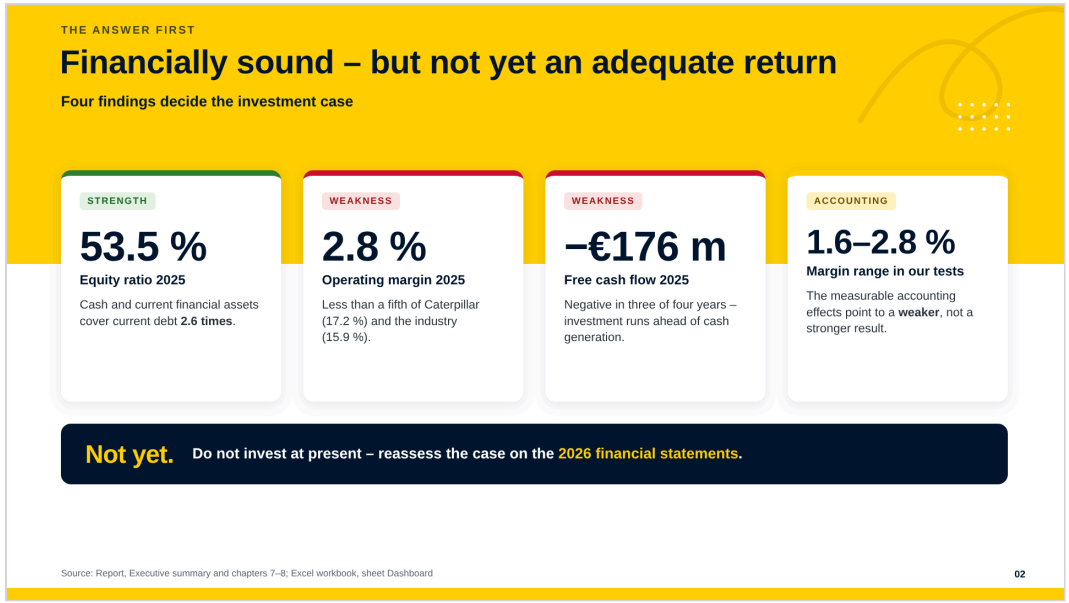
PRESENTED BY

Simon Beermann · Adam Fliegel · Zofia Narkiewicz · Philipp Hoffmann · Zarah Gilmore Islam

Fontys University of Applied Sciences, Venlo · International Finance and Control · Lecturer: Kim Verspeek

Good morning everyone. We are Simon, Adam, Zofia, Philipp and Zarah, and we present our financial analysis of the Liebherr Group for 2022 to 2025.

Our report is written for one reader: a long-term investor who thinks about buying a minority stake in Liebherr. So the whole presentation follows one question: should this investor invest – and if not, why not yet? Our benchmarks are Caterpillar and the average of listed US machinery companies.



We give you the answer first: not yet.

Liebherr is financially sound. Equity finances 53.5 per cent of total assets, and cash covers current debt 2.6 times, so the risk of financial distress is low.

But a strong balance sheet is not the same as a good investment. The operating margin was only 2.8 per cent – less than a fifth of Caterpillar and the industry – and free cash flow was negative in three of four years.

Our accounting tests do not improve this picture. They put the margin somewhere between 1.6 and 2.8 per cent. So our advice is: do not invest now, and reassess on the 2026 statements. Let us show you why.

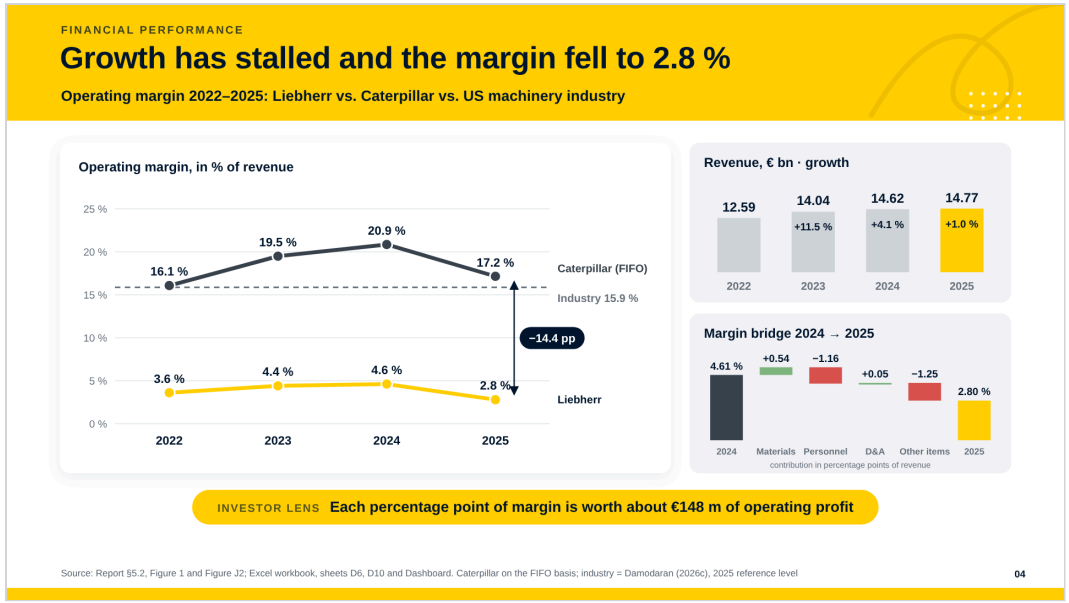


Liebherr is a family-owned, unlisted group, founded in 1949, with almost 56,000 employees in 13 product segments.

Diversification matters here. In 2025 construction machinery and mining – almost two thirds of revenue – fell by 5.5 per cent, but the other segments grew by 14.7 per cent. That is why the group still grew a little.

The environment is difficult: slow European construction growth, US tariffs and low-cost competitors, and higher interest rates, which make machines more expensive to finance.

Liebherr's answer is a capital-intensive strategy: in-house production, its own sales companies and financing from retained profit. So we expect a lot of inventory and a strong equity base in the figures. Let us check.



Revenue growth slowed from 11.5 per cent in 2023 to only 1 per cent in 2025.

The bigger problem is the margin. The yellow line is Liebherr: around 4 per cent, then down to 2.8 per cent in 2025. Caterpillar, on a FIFO basis, earned 16 to 21 per cent, and the industry average is 15.9 per cent. The gap was 12.5 to 16.2 points in every single year – so this is not one bad year. Business models differ, but Caterpillar's machinery segment alone still earned 17 per cent.

The bridge on the right explains 2025: personnel costs grew five times faster than revenue and cost 1.2 points, and other operating items cost another 1.25 points – without any explanation in the notes.

For the investor, each margin point is worth about 148 million euro. But can we trust the reported margin?

05 Accounting analysis – judgements

0:55



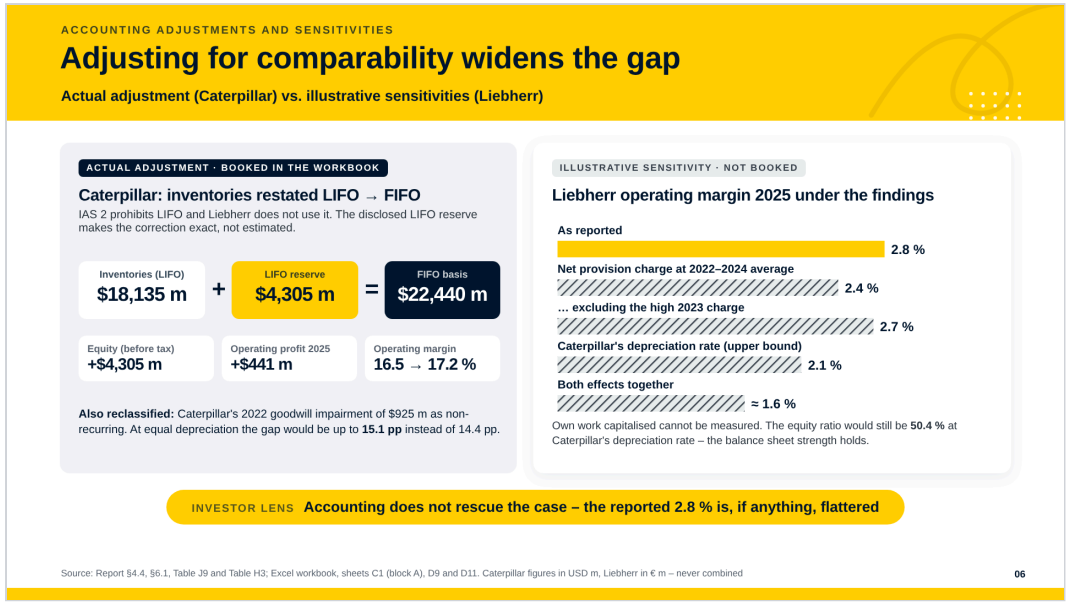
Liebherr publishes only summary statements. The auditor confirms they are consistent with the full statements – but those are not public. And there is no segment note.

Three accounts carry most of the judgement. Inventories of 6.3 billion euro: overhead is allocated at a normal capacity that is not defined, and the allowance for obsolete stock is not disclosed. Provisions: gross reversals rose to 143 million euro, but additions rose too, so the net charge stayed flat – we keep the flag because we cannot see why provisions are released. And fixed assets: Liebherr depreciates more slowly than Caterpillar, and own work capitalised equals 77 per cent of the operating result.

In total, four of nine red-flag tests raised a flag.

06 Accounting adjustments vs. sensitivities

1:05



We separate two things clearly. On the left is an actual adjustment we booked in the workbook; on the right are sensitivities we only measured.

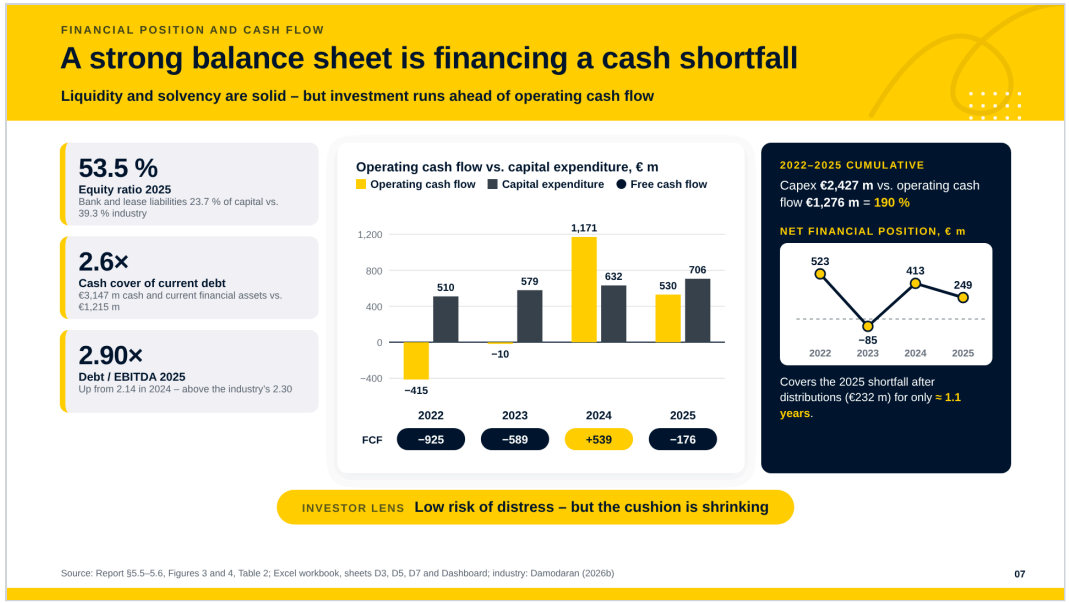
Caterpillar values most inventory with LIFO, which IAS 2 does not allow and Liebherr does not use. Caterpillar discloses its LIFO reserve, so the correction is exact: plus 4.3 billion dollars on inventories and equity, plus 441 million on operating profit. Its margin rises from 16.5 to 17.2 per cent. We also treated the 2022 goodwill impairment as non-recurring. So adjusting makes the gap bigger, not smaller.

For Liebherr we only illustrate: with a normal provision charge the margin would be 2.4 per cent; at Caterpillar's depreciation rate, an upper bound, 2.1 per cent; both together about 1.6 per cent.

So the accounting does not hide a better company – but the balance sheet strength survives: the equity ratio stays around 50 per cent.

07 Financial position and cash flow

1:00



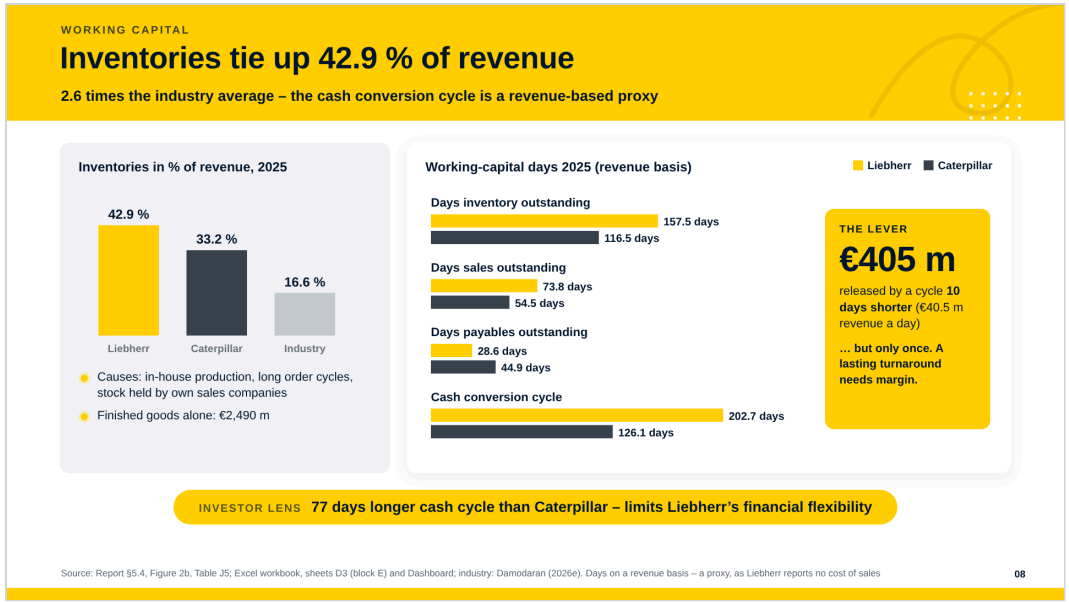
The balance sheet is Liebherr's clearest strength: 53.5 per cent equity, much less debt than the industry, and cash covering current debt 2.6 times.

But look at the cash. Yellow is operating cash flow, grey is capital expenditure. In 2022 and 2023 operating cash flow was even negative because Liebherr built up stock. Over four years it invested 2.4 billion euro but generated only 1.3 billion from operations – 190 per cent. Free cash flow was negative in three of four years.

So the cushion shrinks: the net financial position fell from 523 to 249 million euro, and debt to EBITDA rose to 2.9, above the industry. If the 2025 shortfall repeated, the cushion would last only about 1.1 years. The balance sheet buys time – it does not replace returns.

08 Working capital

0:45



Where is the cash tied up? Mainly in inventories: 42.9 per cent of revenue, 2.6 times the industry.

Measured in days of revenue – a proxy, because Liebherr reports no cost of sales – the cash conversion cycle is about 203 days, 77 days longer than Caterpillar. Liebherr holds stock longer and pays suppliers faster.

This is the biggest lever management controls: ten days less would release about 405 million euro. But only once – so it cannot replace a better margin.

09 Excel workbook

0:55

EXCEL WORKBOOK

Every figure is traceable, reconciled and documented

A1–A4 — **Published statements**
Typed exactly as printed (blue)

B1–B3 — **Recast into one format by nature**
Formulas only · 21 mapping decisions

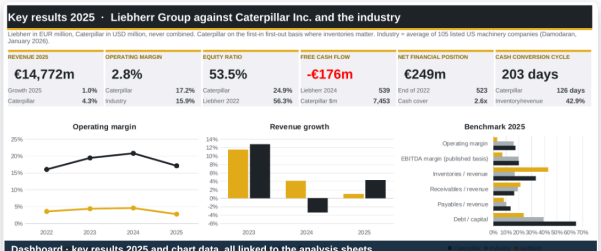
C1–C2 — **Accounting adjustments**
LIFO → FIFO · goodwill · note data

D1–D11 — **Ratios, DuPont, sensitivities**
Benchmark, scenarios, dashboard

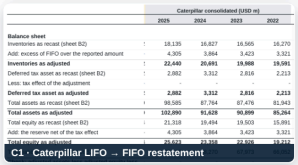
E1–E2 — **Judgements and checks**
44 judgements · every subtotal reconciled

Liebherr in €, Caterpillar in $ – never added or divided across companies. Comparisons rest on ratios within each group.

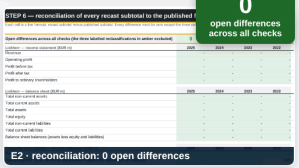
SCREENSHOTS FROM THE WORKBOOK



Dashboard · key results 2025 and chart data, all linked to the analysis sheets



C1 · Caterpillar LIFO → FIFO restatement



E2 · reconciliation: 0 open differences

0 open differences across all checks

Source: Excel workbook "Liebherr–Caterpillar restructured financial statements", sheets Method, Dashboard, B1, C1, E1 and E2; Report §4.5 and Appendix K

09

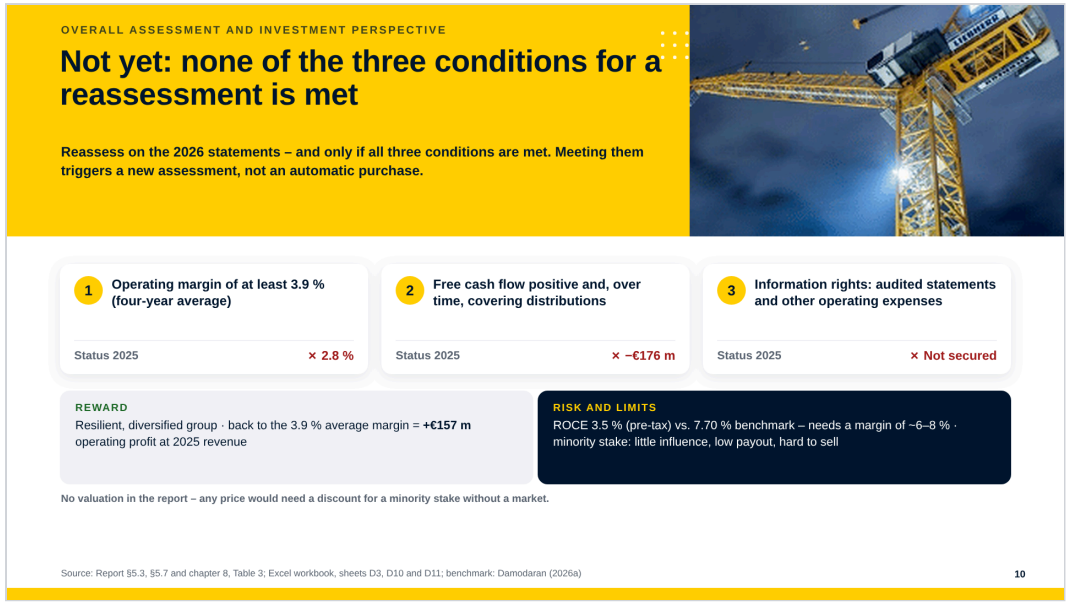
All these numbers come from our workbook, which follows the course's recasting steps.

The A sheets hold the published statements exactly as printed. The B sheets recast both companies into one format by nature – every cell is a formula, and 21 mapping decisions are documented. The C sheets hold the adjustments, like the LIFO restatement. The D sheets calculate ratios, DuPont, sensitivities and the benchmark, and feed the dashboard you see here.

For reliability, E1 documents all 44 judgements, and E2 reconciles every recast subtotal with the published figure as a live formula – with zero open differences, apart from three labelled reclassifications. So every figure in this presentation can be traced back to the annual reports.

10 Investment assessment

1:00



So what does this mean for the investor? We set three conditions for a reassessment, and in 2025 none is met.

First, the margin should return to at least its four-year average of 3.9 per cent – it was 2.8. Second, free cash flow should be positive and cover distributions – it was minus 176 million. Third, the investor needs information rights: the audited statements and the content of other operating expenses.

Even 3.9 per cent is only a trigger, not a good return. The return on capital employed was 3.5 per cent before tax, against a 7.7 per cent benchmark – that would need a margin of about 6 to 8 per cent.

The reward is real: a resilient group, and the average margin alone adds 157 million euro of profit. But a minority shareholder has little influence, a low payout and shares that are hard to sell. We did not value the shares, so there is no price target.

11 Conclusion

0:40

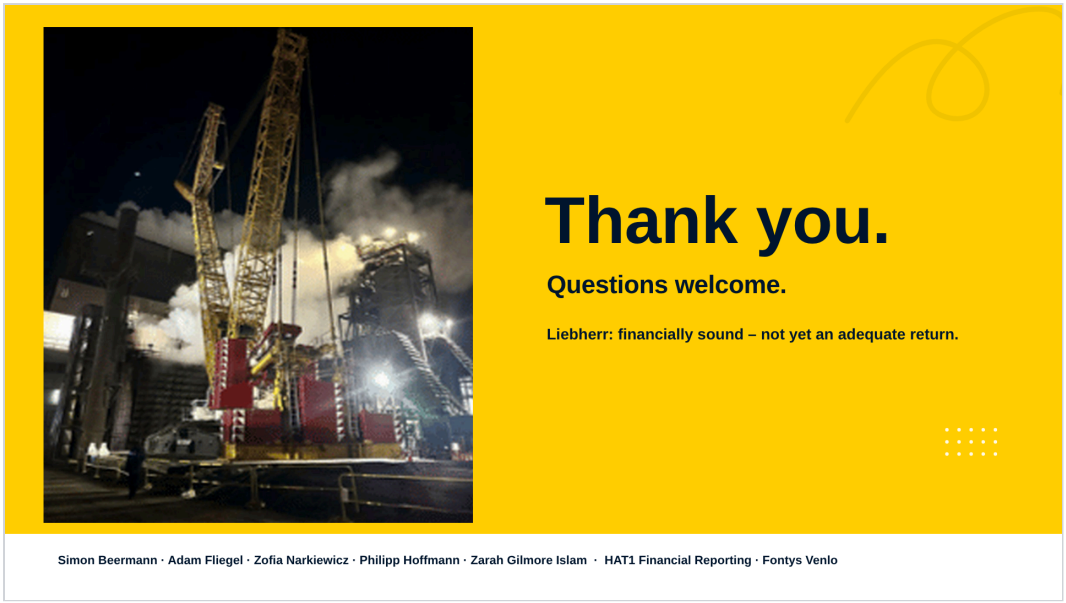


So, our answer to the central question: Liebherr is financially strong, but operationally challenged.

Three takeaways. The balance sheet is strong and survives our accounting tests. Returns and cash generation are too weak, and the gap to Caterpillar exists in every year. And the accounting analysis sharpens the verdict rather than softening it.

If the margin stays near 2.8 per cent in 2026 and the net financial position turns negative, the investor should drop the case. In one sentence: see the turn in the figures before committing capital.

12 Thank you



Thank you for your attention. We are happy to answer your questions.

Back-up figures for Q&A: ROCE 2024 5.9 % before tax at a 4.6 % margin; sustainable growth rate 2.4 %; personnel expenses 28.6 % of revenue (26.4 % in 2023); only €56 m of a €272 m profit distributed in 2025; a deferred tax liability on Caterpillar's LIFO reserve at 21 % would lower its equity ratio only from 24.9 % to 24.2 %.